

When you don't need to go to work to pay your bills, EMI, fees and other living costs. Your investments are large enough to look after all your expenses – current and future. Most people reach this milestone around the age of sixty, when they retire. Retirement either comes with a pension or a lump sum that is invested to harvest an income.

But suppose you get very rich midway. Maybe you cash out the business you own and plan to just invest that money and not work any more, or you inherit a large estate from your parents that takes care of all your financial needs. When that happens, you don't need a life cover. What if you die? The same corpus will look after the family.

The job of the life insurance cover is to serve you till you are debt-free and financially independent. The moment that happens you can stop your term insurance plan. Remember that these are annual contracts; if you terminate it, you lose nothing. You lose a lot if you terminate your endowment policies midway. One more reason to just stay with a term plan.

Kanchan's story ended well. I told her how to fight back. She wrote to the US headquarters of the bank, naming the global CEO in her mail. In two weeks she had her money back. Her son went to art school in the UK and is now a budding Delhi artist and theatre person. Kanchan now works with a certified financial planner and regularly calls me up to say: Thanks, you saved my life. I feel so much in control of my life.

At the end of the chapter I will say it one more time. To protect your family against your ***untimely death***, the only life insurance product you need is a ***pure term cover***. Do not buy any other kind of cover. ***Do not mix investment and insurance*** in the same product.

A life cover is a crucial piece of your money box that allows your family to maintain their lifestyles and future goals. You have been misled about this product for decades. **You are doing OK if ...**

I. you have a pure term insurance plan;